

stress on capitalist social relations in a characteristically Smithian fashion.

"...(T)he labor of a manufacturer adds, generally, to the value of the materials which he works upon, that of his own maintenance, and of his master's profit. The labor of a menial servant, on the contrary, adds to the value of nothing. Though the manufacturer has his wages advanced to him by his master, he, in reality, costs him no expense, the value of those wages being generally restored, together with a profit, in the improved value of the subject upon which his labor is bestowed. But the maintenance of a menial servant never is restored. A man grows rich by employing a multitude of menial servants." (Smith, 1976, p. 351)

Marx basically shares Smith's position by stating that "Adam Smith was essentially correct with his productive and unproductive labor, correct from the standpoint of bourgeois economy." (Marx, 1973, p. 273)

Smith's second definition emphasized the intrinsic quality of labor in question. Smith stated that:

"...(T)he labor of manufacturer fixes and realizes itself in some particular subject of vendible commodity, which lasts for some time at least after that labor is past. It is, as it were, a certain quantity of labor stocked and stored up to be employed, if necessary, upon some other occasion. That subject, or what is the same thing, the price of that subject, can afterwards, if necessary, put into motion a quantity of labor equal to that which had originally produced it. The labor of the menial servant, on the contrary, does not fix or realize itself in any particular subject or vendible commodity. His services generally perish in the very instant of their performance, and seldom leave any trace or value behind them, for which an equal quantity of service could afterwards be procured." (Smith, 1976, pp. 351-2)

Two points need to be made in relation to the so-called 'second' definition above. The first point is about the lack of relationship between the intrinsic quality of the labor and the distinction between PUPL. The second one is the superfluous attention paid to the material aspect of a product which in turn leads to the classification of some productive service activities as unproductive. Marx's position on those points is unambiguous. He writes in TSV:

"...(T)he designation of labor as productive labor has absolutely nothing to do with the determinate content of the labor, its special utility, or the particular use-value in which it manifests itself. The same kind of labor may be productive or unproductive. (Marx, 1963, p. 401)

The labor Marx refers to in the above passage is definitely production labor since it manifests itself in the particular use-value. However, as indicated earlier, not all production labor is productive-labor from the standpoint of capitalism, unless it is exchanged with capital and engaged in the production surplus-values. In regard to the question of materiality, Marx makes the following remark in Volume I of Capital by reiterating his own definition of PL.¹⁵

"The only worker who is productive is one who produces surplus-value for the capitalist, or in other words contributes towards the self-valorization of capital. If we may take an example from outside the sphere of material production, a schoolmaster is a productive worker when, in addition to belaboring the heads of his pupils,

he works himself into the ground to enrich the owner of the school. That the latter has laid out his capital in a teaching factory, instead of a sausage factory, makes no difference to the relation." (Marx, 1976, p. 644)

Another error which is quite prevalent in the recent discussion on PUPL is that of identifying all UPL activities that are necessary for production as productive labor activities. Marx expounded his views on this matter both in general and in specific relation to activities in the sphere of circulation (i.e., commercial and merchant activities):¹⁶

"... If by a division of labor a function, unproductive in itself although a necessary element of reproduction, is transformed from an incidental occupation of many into the exclusive occupation of a few, into their special business, the nature of this function itself has not changed." (Marx, 1956, p. 134)

In the context of the circulation sphere he pointed out that:

"(A buying and selling) agent expends his labor-power and labor-time in the operations of C-M and M-C. And he makes his living in that way, just as another does by spinning or by making pills. He performs a necessary function, because the process of reproduction itself includes unproductive functions. He works as well as the next man, but intrinsically his labor neither value nor product. He belongs himself to the faux Frais of production. His usefulness does not consist in transforming an unproductive function into a productive one, nor unproductive into productive labor. It would be a miracle if such a transformation could be accomplished by the mere transfer of a function." (Marx, 1956, pp. 134-5)

Another widespread mistake in the discussion of PUPL is that of utilizing this distinction for the identification of individuals as productive and unproductive laborers. This failure, it seems to me, results from an inability to see a person as being both a productive and unproductive worker. The following quote, though it is rather extreme, clearly demonstrates that even a capitalist, due to his/her location in a production process, can engage in production activities, and hence the absurdity of the use of PUPL distinction for the identification of social classes in capitalism.

"As the representative of productive capital engaged in the process of self-expansion, the capitalist performs a productive function. It consists in the direction and exploitation of productive labor. In contrast to his fellow consumers of surplus-value who stand in no such immediate and active relationship to their production, his class is the productive class par excellence. As the director of the labor process the capitalist performs productive labor in the sense that his labor is involved in the total process that is realized in the product.)"¹⁷(Marx, 1976, p. 1048)

Finally, we need to clarify the issue of domestic labor.¹⁸ I support the position that the distinction between PUPL cannot be properly employed for the analysis of domestic labor without violating the framework in which Marx developed the PUPL distinction. As Marx plainly points out in the following quote, the production of labor-power, although it is one of the most essential aspects of reproduction, cannot be

counted as one of the production processes in which labor is employed.

"... The productive laborers will produce immediate, material wealth consisting of commodities, all commodities except those which consist of labor-power itself." (Marx, 1963, p. 161)

His position is made even clearer elsewhere in the TSV.

"All labor that produces, trains, develops, maintains or reproduces labor-power itself cannot be included in the productive labor." (Marx, 1963, p. 172)

This position is not only consistent with the criteria for distinguishing P and UPL but it can also be justified on the grounds that the existence of domestic labor is not historically specific to capitalist society, while the distinction of P and UPL is. In other words, since there is no exchange of labor against capital and no surplus-value is produced in the household, neither of the two necessary conditions for PL is satisfied. Moreover, the uniqueness of labor-power as a commodity which comes into existence at a particular historical junction (capitalism), has nothing to do directly either with the division of labor within the household or with the nature of the domestic labor activity in terms of its position outside the household. Consequently, it is difficult to relate the historical phenomenon of labor-power as a commodity to the justification of domestic labor as productive labor

which is clearly a non-capitalist production activity.¹⁹
 In this sense it can at most be said that domestic labor is production labor in general, but not productive labor from the standpoint of capitalist society.²⁰

A.4. Productive and Unproductive Labor and State Expenditures:

Marx's remarks on PUPL provide useful insights into the classification of state expenditures, even though they are neither specifically about state expenditures as such nor as systematically presented as other categories in Capital. In this section, I shall first deal with the classification of military expenditures within the context of our previous discussions of various human activities. Second, I shall consider the indirect production of surplus-value. Both of these discussions are necessary prerequisites for the classification of various state expenditures which will follow in the next chapter.

The main confusion regarding the classification of military expenditures arises because of the unclear conceptualization of consumption activities.²¹ As mentioned previously, productive consumption is a process of capitalist production of surplus-value and presupposes an exchange of labor-power with money capital. This is the only labor Marx classifies as PL.

"For instance, if I buy produce from a self-employing worker, artisan, etc., the category does not enter into the discussion because there is not direct

exchange between money and labor of any kind, but only between money and produce." (Marx, 1976, p. 1047)

However, the products of productive consumption (PC) activities can enter any of the following three consumption activities: a) as means of production they re-enter PC activities, b) as consumable goods (or services) they enter either social unproductive consumption activities, or c) they enter unproductive personal consumption activities. Let us look at each of these in turn and apply our classification of PUPL. Clearly, in the first case when products of PC activities enter into PC activities, expenditures made for their purchase are not 'faux frais de production': not only do they become 'factors of production' but also labor expended on them is considered PL. In the other two cases, it is unproductive rather than PC activities which take place, although only social UPC activities involve labor according to our previous classification of the basic set of human activities. Therefore, when the products of PC activity enter into activities of social reproduction and the maintenance of social order, they become subject to labor activity which is directed to UPC and consequently such labor activity is clearly unproductive. In the third case, products of PC are consumed for the purpose of personal consumption; there is no labor activity as such and this, therefore, presents no problems whatsoever in terms of classification.

From the perspective I presented above, however, there should not be any question in classifying labor activities in the production of military goods (e.g., weapons) as productive labor activities, since capitalists engaged in such production activities aim for the production and appropriation of surplus-value as much as do other capitalists in other spheres of production. On the other hand, there should not be any question either in classifying the activities of military personnel who unproductively consume those weapons as unproductive labor activities, since they are outside the circuit of capital and the salaries are paid within the circuit of revenue. What about, then, classifying the state's expenditures on those weapons?

These particular state expenditures are products of PC activities and since they are part of social UPC activities they must be considered as a typical example of faux frais de production. In terms of their role in and impact in the accumulation process, such military goods can therefore be viewed as luxury consumption goods. The labor involved in the production of these goods is clearly productive as long as they are produced capitalistically. On the other hand, expenditure on such goods represents unproductive consumption on the part of capitalist state and is therefore a reduction in total surplus-value available for productive reinvestment.

Concerning 'indirect production of surplus

value', it can be said that the main confusion here is once again due to the lack of an adequate classification of human activities (i.e., production as distinct from others) which has led certain authors (O'Connor and Rowthorn) to adopt the concept of 'indirectly productive labor' (or 'reproductive output' in the case of Gough). We must first ask the question why they need the concept of 'indirectly productive labor' or 'reproductive output'. It seems that the main reason for the adoption of such categories is the fact that certain activities (expenditures) of the state, according to these authors, are neither productive nor unproductive. For instance, Gough considers that "state workers (excluding those in the nationalized industries who do not produce an exchange value (a commodity for sale) nor therefore surplus value, may produce crucial elements of constant [capital, for example, transportation facilities] for variable capital, for example health services" (Gough, 1979, p. 161). Such workers in Gough's classification constitute a group of reproductive workers since they perform accumulation functions which "provide the material basis for future reproduction (and growth in the economy" (Gough, 1979, p. 160). On the other hand, the workers in the government administration, the armed forces, etc., should be considered as unreproductive workers since they mainly perform, in O'Connor's terminology, legitimation functions rather than accumulation.

In proposing the concept of 'indirectly productive workers', Rowthorn also emphasizes the fact that educational workers in the state-owned institutions perform surplus labor which is in turn transferred to capitalists in other sectors leading to a higher profitability through lowering the price of skilled labor. According to Rowthorn, such workers therefore can be described as indirectly productive since they "contribute indirectly to capitalist profits" (Rowthorn, 1979, p. 12).

Although it is true that some of the state activities are in fact non-production activities, such as distribution and social reproduction and maintenance, the existence of the latter activities hardly justifies the introduction of a new category of "indirectly productive" labor. The fundamental significance of the distinction between productive and unproductive labor is its emphasis on "the dependence of all sectors of the capitalist economy (including the state) upon the production of surplus value" (Fine and Harris, 1979, p. 130). From this point of view neither the concept of indirect productivity nor that of reproductivity come to grips with state non-productive expenditures which are ultimately a drain on surplus value. Rather, such taxonomy emphasizes the impact of certain state activities on the profitability in the next round of the production mainly through lowering the reproduction